Course: BA2026 Business Administration (Assignment 1)
Presenter: Student Name, Group Number
Word Count Equivalent: 1,450 words
Submission Date: Week 3

Strategic Divergence & Transfer Analysis

Evaluating Shell plc (Company A) as Comparative Evidence for KazMunayGas (Company B)

Company A: Shell **Company B: KMG**

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EXECUTIVE POSITION STATEMENT

KazMunayGas must selectively pilot AI-driven operational efficiencies and adapt lower-carbon integration from Shell, but must firmly reject Shell's aggressive pivot away from local energy security, reflecting Kazakhstan's unique socio-economic dependencies and state mandate.

MACRO REALITY	ETHICAL MANDATE	TECH READINESS
KMG Net Debt/EBITDA at 0.16x vs. Shell's high-margin prioritization.	National Plan 2029 vs. Global Shareholder Return.	ABAI system scaling vs. Shell's deep-water AI.

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Business Context | Market & Macro

Core Financials (H1 2026)

0.16x

Net Debt/EBITDA
(High financial flexibility)

2.3 trillion trillion KZT

Tax Contribution
(State economic anchor)

Upstream Imperatives

240M tons

Cumulative oil production target
(2022-2031)

13 Years

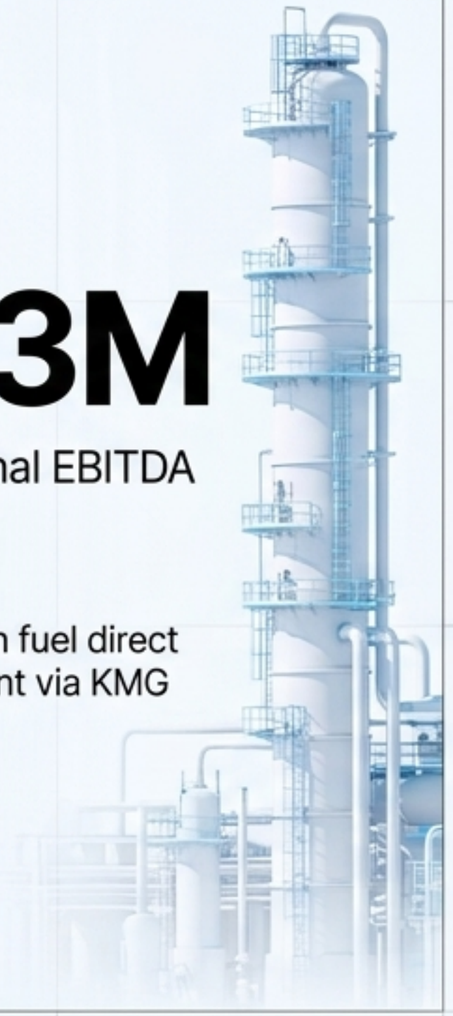
1P reserves life
(Outpacing intl. majors)

Downstream & Int. Expansion

$203M

KMG International EBITDA
(Up 40% YoY)

- Moldova aviation fuel direct supply agreement via KMG International.

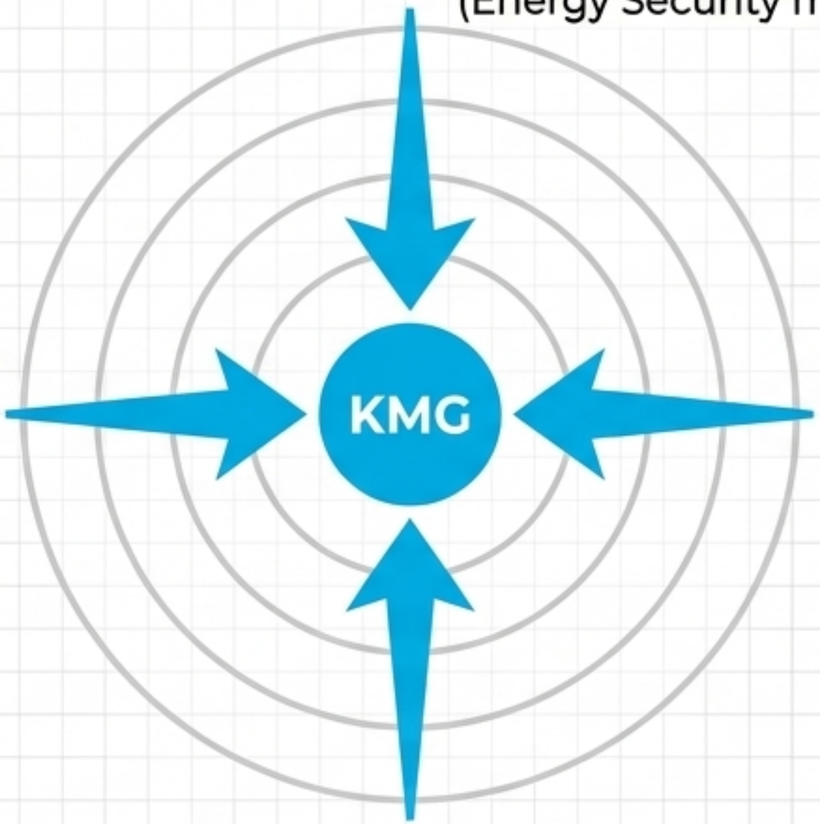


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Environment & Stakeholders | The Forces at Play

Environmental Radar Map

Political: Kazakhstan National Plan 2029 (Energy Security mandate)



Technological: Transition to AI-managed extraction and digital transport

Economic: Demand for domestic fuel price stabilization

Environmental: Low-Carbon Development to 2060 & Global Methane Pledge

Key Insight Box

Unlike independent majors, **KMG's environment** is heavily weighted toward domestic macroeconomic stabilization.

Global pressures (ESG, Tech) must be filtered through **local political economy**.

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Environment & Stakeholders | The Ethical Tension

Global ESG & UN SDGs

UN SDG 13 (Climate Action) & SDG 7 (Clean Energy)

- Paris Agreement targets
- Elimination of routine flaring
- CDP carbon disclosure requirements

Local Socio-Economic Mandate

UN SDG 8 (Decent Work & Econ Growth)

- Top regional employer
- 78% local content in procurement
- Sole guarantor of fuel for transport/agriculture



Synthesis Bar

The Tension Verdict: KMG cannot abruptly divest high-carbon legacy assets without triggering localized economic collapse. Decarbonization must be additive (e.g., the 247MW Eni hybrid plant in Zhanaozen) rather than subtractive.

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Business Model | KMG's Value Creation

EXPLORATION

161 mln tons added (2022-2025). Focus on deep subsalt targets.

PRODUCTION



Megaprojects (Tengiz, Kashagan) + mature assets (Ozenmunaigas).

TRANSPORT

Expanding export routes & digital fleet management.

REFINING

Comprehensive modernization program (Atyrau refinery enhancements).

RETAIL

KMG Int.: 2.53 mln tons processed; volume growth in Romania/Moldova.

Fully Integrated Synergy: Mitigates commodity price volatility and captures value at every downstream step.

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STRATEGIC COMMAND BOARD

Business Model | AI & Tech Stress Test

KEY FINDING:
AI is currently utilized for operational optimization **(cost-saving)** rather than business model innovation (new revenue streams).

Tech Callout 1

ABAI Intelligent Waterflooding

Scaling to Mangistaumunaigaz. Optimizes mature field yields, mitigating natural decline rates.

Tech Callout 2

Unified Digital Platform

Consolidating logistics and dispatch across all physical pipeline and maritime assets.

EXPLORATION

Symboliz the slime slide from previous business model.

PRODUCTION

Optimizes mature field yields, mitigating natural natural decline rates.

TRANSPORT

Consolidating logistics and dispatch across all physical pipeline and maritime assets.

REFINING

Tech Callout 3

Smart Grid Integration

247MW hybrid solar/wind/gas plant requires AI-driven load balancing to offset refinery power consumption.

RETAIL

Developer the rsprirtt spacerɑ retail, and detail winning.

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The Pivot

Ruthless Divestment

Selling off SPDC Nigeria, Singapore chemical park, and 800 retail sites to high-grade the portfolio.

LNG Dominance

Targeting 4-5% CAGR in LNG sales to 2030.

Upstream Plateau

Holding liquids stable at 1.4M bpd, focusing strictly on high-margin deep-water (e.g., Whale facility, GoA).

Metrics - 2025

$17.3B

Cash flow from operations ⚠

36% Adopt

Reduction in Scope 1 & 2 Emissions (from 2016 baseline)

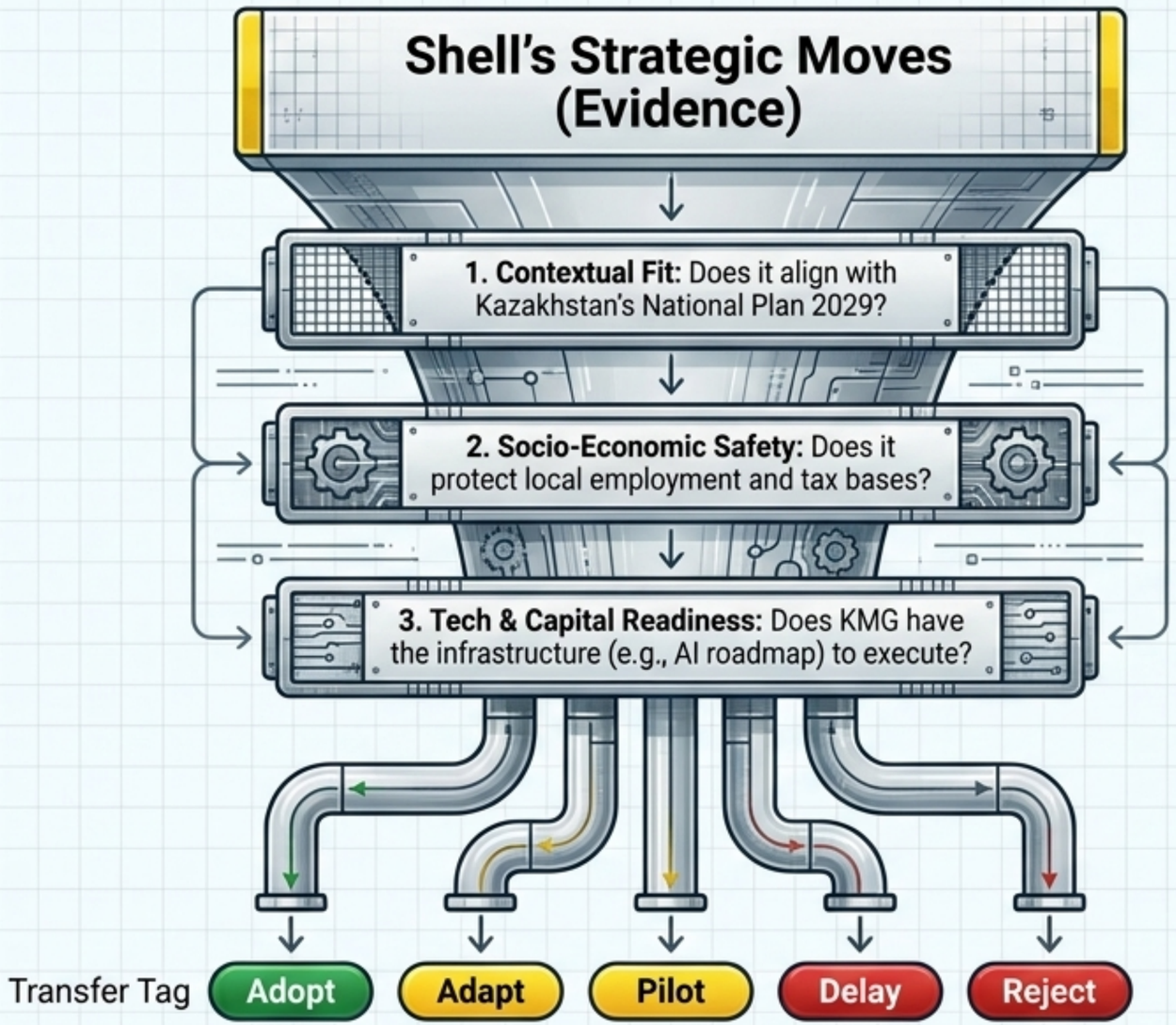
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Comparative Analysis | Structural Divergence

Shell (Company A)	KMG (Company B)
Primary Fiduciary Driver	
Maximizing intrinsic shareholder value and FCF per share.	National macroeconomic stabilization and energy security.
Portfolio Strategy	
High-grading (selling off lower-margin, high-carbon assets).	Expanding (absorbing local supply constraints, building new power plants).
Retail & Downstream	
Exiting 800 retail sites; reducing global footprint.	Expanding retail via KMG International (Moldova/Romania) to capture end-user margins.
Structural Divergence limits direct strategy transfer. Shell operates as a global capital allocator; KMG operates as a sovereign strategic anchor.	

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The Transfer Judgment | Methodology



Uncritical transfer of Company A's practices guarantees **strategic failure. Every initiative** is subjected to **localized stress-testing.**

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The Transfer Matrix | Verdicts

Transfer Tag	Justification
ADOPT	**Routine Flaring Elimination.** Shell achieved this in 2025; KMG must **adopt** this aggressively to align with the **Global Methane Pledge.**
PILOT	**AI-Driven Asset Optimization.** Pilot Shell-style predictive maintenance on KMG's mature fields using the existing **ABAI system**.
ADAPT	**Downstream Repositioning.** Instead of Shell's divestment, KMG must adapt by modernizing legacy refineries (e.g., **Atyrau**) to improve margins without losing local supply capacity.
DELAY	**Aggressive LNG Export Pivot.** Delay focusing strictly on global LNG until **QazaqGaz** domestic supply obligations are fully secured and stabilized.
REJECT	**Wholesale Asset Divestiture.** Reject Shell's strategy of selling off underperforming regional assets (like SPDC Nigeria); KMG cannot abandon its socio-economic obligations in western Kazakhstan.

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Recommendations | Pilot & Adapt

"Pilot" Action 1: Pilot Predictive AI on Mature Assets

What Changes

Integrate **AI predictive modeling** (benchmarked against Shell's deep-water tech) into the existing **ABAI waterflooding module.**

Who Acts

KMG **IT Management & Ozenmunaigas Operations Directorate.**

Verification

5% increase in **Mean Time Between Failures (MTBF)** for extraction equipment by Q4 2027.

"Adapt" Action 2: Adapt Renewable Power Integration

What Changes

Accelerate the **Zhanaozen 247MW hybrid project**, utilizing **Shell's PPA** (Power Purchase Agreement) **frameworks** to secure industrial off-takers.

Who Acts

KMG Renewables Division in JV with **Eni.**

Verification

Grid commissioning of the 77MW wind and 120MW gas phases completed by **end of 2026.**

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Recommendations | **Localized Integration**

Action 3: QazaqGaz Synergy for Domestic Stability ADOPT

- **What Changes:** Structure a coordinated domestic supply framework with QazaqGaz prior to any KMG IPO, ensuring stable stable domestic pricing without crippling KMG's balance sheet.
- **Who Acts:** KMG Board & Samruk-Kazyna.
- **Verification:** Avoidance of domestic supply shortfalls in H2 2026.

Action 4: Strategic KMG Int. Expansion PILOT

- **What Changes:** Unlike Shell exiting retail, KMG must leverage the Moldova aviation fuel agreement to capture European downstream margins, subsidizing domestic obligations.
- **Who Acts:** KMG International Trading Desk.
- **Verification:** 10% YoY increase in non-fuel/aviation sales in the Black Sea region by Q1 2027.

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Evidence & Verification Trail

Traceability Matrix		
Data Claim	**Source Material**	**Weekly Record Trace**
KMG Net Debt/EBITDA at 0.16x	KMG AR 2025 (Pg. 30)	Verified in Record 1, Field 3
Shell 1.4m bpd liquids stability	Shell AR 2025 (Pg. 9)	Verified in Record 3, Field 3
2.3 trln KZT KMG tax contribution	KMG AR 2025 (Pg. 45)	Verified in Record 2, Field 3
ABAI system deployment	KMG AR 2025 (Pg. 12)	Verified in Record 3, Field 3

All quantitative claims independently verified against primary corporate disclosures (OpenStax Ch. 2 Ethics / Ch. 7 Org Structure methodologies applied).

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AI Use Declaration & Appendix Checklist

AI-Use Declaration (Level 2)

System Used: Claude 3.5 / ChatGPT

Purpose: Structural feedback, language refinement, formatting comparative matrices.

Human Verification: All data points, strategic judgments, and source tracing authored and manually verified presenter. No AI generation used for analytical conclusions.

Appendix Checklist (Submitted Separately)

- [x] Environment & AI-Opportunity Map (Week 1)
- [x] Stakeholder & Ethics Map (Week 2)
- [x] AI Business Model Stress Test (Week 3)
- [x] Continuous IEEE Evidence Folder

Defense Mode Enabled: Level 1 AI restriction applies.

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